one of these stocks. It does *not* mean that should one grow more rapidly than the rest, so that ten years later he found 40 per cent of his total market value in one stock, he should in any sense disturb such a holding. This assumes, of course, that he has gotten to know his holding and the future continues to look at least as bright for these stocks as has the recent past.

An investor using this guide of 20 per cent of his original invest-ment for each company should see that there is no more than a mod-erate amount of overlapping, if any, between the product lines of his five companies. Thus, for example, if Dow were one of his five companies there would seem to me to be no reason why Du Pont might not be another. There are relatively few places where the product lines of these two companies overlap or compete. If he were to have Dow and some other company closer to Dow in its fields of activity, his purchase might still be a wise one provided he had sufficient reason for making it. Having these two stocks in similar lines of activity might prove very profitable over the years. However, in such an instance the investor should keep in mind that his diversification is essentially inadequate, and therefore he should be alert for troubles which might affect the indus-try involved.

B. Some or all of his investments might fall into the category of stocks about midway between the young growth companies with their high degree of risk and the institutional type of investment described above. These would be companies with a good management team rather than one-man management. They would be companies doing a volume of business somewhere between fifteen and one hundred million dollars a year and rather well entrenched in their industries. At least two of such companies should be considered as necessary to balance each single company of the *A* type. In other words, if only companies in this *B* group were involved, an investor might start out with 10 per cent of his available funds in each. This would make a total of ten stocks in all. However, companies in this general classification can vary considerably among themselves as to their degree of risk. It might be prudent to con-sider those with the greater inherent risk as candidates for 8 per cent of original investment, rather than 10 per cent. In any event, looking to each stock of this class as a candidate for 8 to 10 per cent of total orig-inal investment—in contrast to 20 per cent for the *A* group—should again provide the framework for adequate minimum diversification.